LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is Anchor-Based Receivable Funding?

Developed by www.loanbazaaronline.com

Document Overview & Course Syllabus

This technical white paper and reference manual has been designed to serve as a comprehensive, standalone textbook for finance students, treasury professionals, credit underwriters, and corporate consultants seeking a deep, watertight understanding of **Anchor-Based Receivable Funding (ABRF)**, also commonly known as supply chain finance, reverse factoring, or anchor-led dealer/vendor financing in India. Written under the administrative stewardship of **www.loanbazaaronline.com**, this manual is structured to provide an end-to-end masterclass, enabling readers to successfully pass standard bank certifications and corporate credit exams on the subject. Every calculation, transactional flowchart, statutory clause, and risk metric aligns with the current operational realities of the Indian banking sector in 2026.

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Module 1: Theoretical Foundations and Product Philosophy

In modern corporate trade and global commerce, the primary bottleneck to systemic economic scaling is the physical asymmetry of supply chain balance sheets. Large enterprise buyers, often referred to as **Anchors**, leverage their substantial market power to negotiate extended credit usance periods from their micro, small, and medium-sized enterprise (**MSME**) suppliers. While this capital-preservation strategy optimizes the Anchor's Days Payable Outstanding (DPO), it introduces severe liquidity stress on the suppliers' balance sheets by expanding their Days Sales Outstanding (DSO) to 90, 120, or even 150 days. This cash flow compression restricts the supplier's capacity to purchase fresh raw materials, expand their manufacturing facilities, or meet daily wage payrolls.

To resolve this mismatch, modern supply chain banking introduces **Anchor-Based Receivable Funding (ABRF)**. This product represents a structured, credit-optimized alternative to conventional bank overdrafts, cash credit lines, or commercial bill purchasing. Under ABRF, the financial institution (Financier) establishes a robust, tripartite relationship with the large enterprise Anchor and its underlying vendor network. Rather than assessing the credit risk of the fragmented, low-credit-rated MSME vendors individually, the bank shifts its credit underwriting focus entirely to the high-credit-quality Anchor (usually rated AA/AAA).

This credit-arbitrage mechanism forms the fundamental philosophy of the product. The bank assigns a comprehensive, master credit limit to the corporate Anchor. Once the Anchor digitally confirms and accepts the commercial invoices raised by its on-boarded suppliers, the bank discounts those invoices and immediately disburses funds to the supplier's account on a **non-recourse** or **limited-recourse** basis. The interest rates applied to this credit are calculated based on the prime risk profile of the Anchor rather than the risky MSME supplier, enabling the small vendor to access institutional credit at pricing levels otherwise unavailable to them.

Historical Context in India: Historically, working capital financing in India was dominated by traditional, security-backed Cash Credit (CC) accounts or unilateral bill purchasing. Exporters and domestic vendors had to offer immovable property, heavy manufacturing equipment, or physical fixed deposits as collateral. If a vendor had no fixed assets, they were systematically excluded from formal credit. Following the landmark RBI committee reports on supply chain digitized credit, the Indian trade ecosystem transitioned toward transaction-level digital tracing. The modern integration of GST invoices, e-way bills, and automated escrow sweeps has allowed banks to completely replace physical real estate collateral with transactional cash-flow predictability, creating a robust, flow-based digital lending environment.

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The Deeming Fiction of Title Transfer: A critical pillar of the product's legal philosophy resides in the statutory rules governing the transfer of commercial goods. Under Section 10(1)(b) of the Integrated Goods and Services Tax (IGST) Act, 2017, a legal 'deeming fiction' is established for multi-party transit trade. This fiction stipulates that when goods are delivered by a supplier to a third-party consignee on the instructions of an intermediary corporate Anchor, it is deemed that the Anchor has received the goods at their principal place of business. This legal fiction ensures a clear, sequential transfer of title, enabling the bank to securely finance the receivable. If the buyer defaults on maturity, they are legally barred from claiming they never physically received the goods to avoid payment, as delivery to the consignee legally completes the trade loop.

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Module 2: Structural Taxonomy and Comparative Analysis

To establish a rigorous credit taxonomy for finance trainees, it is essential to map ABRF against other common working capital products. A clear understanding of these operational differences prevents the misclassification of credit risk and allows underwriters to deploy the correct product structural controls.

Parameter	Anchor-Based Receivable Funding (ABRF)	Direct Invoice Discounting	Traditional Invoice Factoring	TReDS Platform Funding
Primary Underwriting Risk Basis	Anchor's Corporate Credit Rating (AA/AAA)	Supplier's Independent Credit Rating	Supplier's Asset and Balance Sheet Quality	Corporate Buyer's Dynamic credit ranking
Recourse Framework to Supplier	Limited or Non-Recourse (once accepted)	Full Recourse to Supplier on default	Can be Recourse or Non-Recourse	Strictly Non-Recourse to MSME Supplier
Buyer Notification & Consent	Explicit Tripartite Sign-off & Automated Escrow Setup	Muted / Confidential (No buyer notification)	Disclosed to Buyer via Notice of Assignment (NoA)	Fully digital buyer onboarding and digital sign-off
Sales Ledger Administration	Fully Automated; Integrated into Bank's SCF Platform	Managed solely by Supplier's finance team	Financier manages collections and ledger	Managed entirely by the digital exchange (RXIL etc.)
CERSAI Charge Registration	Mandatory registration of	Hypothecation of book debts	Factoring charge registered	Digital automatic charge

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	assignment within 10 days	registered with ROC	on CERSAI platform	registration by the platform
Pricing Benchmark Basis	EBLR / MCLR based on Anchor's prime profile	High rate based on Supplier's risky profile	High rate plus ledger administration commissions	Highly competitive market bidding by banks/NBFCs

Key Takeaway on Recourse: Under the ABRF structure, once the corporate Anchor accepts and approves the invoice on the bank's digital supply chain system, the credit risk of commercial default shifts entirely to the Anchor. The bank relies on this digital acceptance, which contractually waives any dispute rights, making it a highly secure, flow-based asset class for commercial lenders.

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Module 3: The End-to-End Operational Lifecycle

The operational success of ABRF relies on tightly integrated digital workflows that link the Supplier, the corporate Anchor, and the bank's central core banking platform. This end-to-end lifecycle is structured across five major transactional phases:

Phase 1: Commercial Order & PO Mirroring: The corporate Anchor issues a purchase order (PO) to the pre-approved MSME supplier. The PO details raw material specifications, delivery schedules, and price points. The supplier uploads the digital PO to the bank's supply chain portal, establishing a transaction baseline and eliminating duplicate financing risks.

Phase 2: Goods Dispatch & E-Way Bill Matching: The supplier manufactures and dispatches the consignment. The supplier generates a tax invoice on the GSTN portal along with an electronic E-Way Bill on the ICEGATE customs/freight portal. The bank's system initiates automated API queries to cross-verify the shipment weight, vehicle numbers, route, and invoice value, fully mitigating fake billing scams.

Phase 3: Digital Acceptance by the Anchor: Upon receiving the shipment, the Anchor's warehousing team inspects the goods and records physical gate-entry. The Anchor's finance team then accesses the bank's portal and digitally accepts the corresponding invoice, registering an unconditional obligation to pay on usance maturity (e.g. Day 90).

Phase 4: Automatic Discounting & Direct Disbursal: Upon digital acceptance, the supplier clicks 'Discount' on the portal. The bank's credit engine automatically calculates the discount interest and processing fees, applies the required safety margin (e.g., 10% to 15% haircut), and immediately disburses the remaining advanced principal (e.g., 85% to 90%) directly into the supplier's designated current account.

Phase 5: Escrow Sweeps & Final Retirement: On usance maturity, the corporate Anchor initiates an automated payment through its ERP system. The funds are routed directly into the bank's designated Escrow/Collection account. The bank's system executes an automated sweep to retire the outstanding financed principal and interest, releasing the remaining 10% to 15% margin back to the supplier's current account.

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Module 4: Transactional Credit Underwriting & Risk Metrics

While traditional corporate underwriting assesses a borrower's static balance sheet, collateral net asset value, and historic leverage, the ABRF underwriting framework shifts toward outward-looking, transaction-backed credit analytics. Underwriters utilize five core risk criteria to establish and manage an active ABRF credit line:

Criterion 1: Promoter's Personal Credit Score (CIBIL Score > 700): Although the core credit risk resides with the corporate Anchor, the operational and integrity risk resides with the MSME supplier. Lenders require the promoter's personal CIBIL score to exceed 700 to ensure clear ethical governance and historical debt compliance.

Criterion 2: CIBIL MSME Rank (CMR 1 to CMR 4): The CIBIL MSME Rank (CMR) is an advanced algorithm scoring the default probability of commercial entities on a scale of CMR 1 (lowest risk) to CMR 10 (highest risk). Exporters and vendors under the ABRF program are preferred to score within the CMR 1-4 bracket, ensuring robust financial discipline.

Criterion 3: Historic Invoice Dilution Rate (< 2.50%): Invoice dilution represents the difference between the gross invoiced amount and the final cash collected, driven by trade-level returns, quality-related credit notes, or trade discounts. If a vendor's historic dilution exceeds 2.50%, the bank expands the safety margin haircut (e.g. from 10% to 15%) to insulate the advanced principal from dilution loss.

Criterion 4: Account Aggregator Cash Flow Integrity: The credit engine utilizes India's Account Aggregator network to execute automated, API-driven bank statement audits of the supplier's active current accounts. This audit flags any cash flow irregularities, circular transactions, or potential debt-servicing stress.

Criterion 5: Real-Time E-Way Bill Lifecycle Tracking: By integrating directly with the ICEGATE and GSTN portals, the underwriting system monitors the active lifecycle of the E-Way Bill. It validates physical gate-entry stamps at the Anchor's factory gate, completely eliminating the risk of fake invoicing or paper-only trades.

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Module 5: Watertight Legal Security and Charge Creation

To establish an ironclad credit structure, underwriters must execute specific legal documents to ensure immediate, priority recovery rights on receivables. These legal requirements are structured as follows:

Section 130 Assignment of Actionable Claims: Under the Transfer of Property Act, 1882, trade receivables (book debts) are legally classified as 'actionable claims'. Section 130 outlines the legal transfer of these claims. The supplier executes an absolute assignment of the book debts to the bank. This assignment transfers all ownership rights, legal remedies, and enforcement powers to the bank, enabling the bank to sue the Anchor directly if they default on maturity, bypassing the supplier entirely.

The Tripartite Agreement's Non-Dispute Covenant: The tripartite agreement executed by the bank, the supplier, and the corporate Anchor contains a non-dispute covenant. This covenant stipulates that once the Anchor accepts the invoice on the digital portal, they unconditionally waive their legal rights to hold back or set off payments on those invoices due to subsequent trade quality disputes or late delivery. Any commercial disputes must be resolved directly between the Anchor and the supplier, without impacting the bank's direct payout line.

CERSAI Factoring Charge Registration within 10 Days: Under the Factoring Regulation Act, 2011 (with the 2021 Amendments), all trade factoring and receivable assignment transactions must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) platform within a mandatory 10-day statutory window. This registration creates public record of the assignment, establishing absolute senior lien rights and preventing the supplier from fraudulently pledging the same invoice to another bank.

Master Terms and Conditions & Conditions Precedent: The master credit documentation (including provisions standard in Tata Capital's T&Cs) requires the supplier to fulfill specific Conditions Precedent before any drawdown. These include presenting a tax clearance certificate under Section 281(1)(ii) of the Income Tax Act, executing a formal book debt hypothecation deed, and providing clean auditor certificates.

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Module 6: Sectoral Sizing and Market Alignment

The utility of ABRF is highly pronounced in sectors with long working capital cycles, extensive component assemblies, and tight operating margins. The following sectors represent the largest beneficiaries of this product:

Automotive Component Manufacturing: In the automotive value chain, Tier-2 and Tier-3 MSME suppliers source raw alloys and electrical components to supply to large OEM Anchors. The OEM's payment cycles frequently span 90 to 120 days. ABRF allows these Tier-2/3 vendors to discount their accepted invoices within 24 hours of dispatch, ensuring they can purchase raw steel and aluminum for the next cycle with zero capital freezing.

Consumer Electronics & PLI Frameworks: Under India's 'Vision 2030' PLI (Production Linked Incentive) scheme to establish India as a global consumer electronics hub, local component assemblers experience high volume scalability. Since margins are tight (<5.0%), these manufacturers cannot afford to freeze capital. ABRF provides a highly scalable, non-collateralized funding solution directly mapped to electronic order deliveries.

FMCG and Distributors Sector: In the Fast-Moving Consumer Goods (FMCG) sector, high velocity is everything. Distributors purchase large inventory blocks from manufacturing corporate Anchors, while vendors supply packaging materials. ABRF applies to both ends of this cycle, providing structured dealer and vendor financing programs that optimize cash flow for all supply chain participants.

Socio-Economic Borrowing Demographics: CIBIL MSME credit trends show that Retail and Wholesale Traders represent the single largest segment of active working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment. This demographic relies heavily on flow-based, transaction-backed trade finance products like ABRF to optimize capital efficiency rather than relying on asset-heavy term loans.

Institutional Market Scale: The scale of digital supply chain finance in India is illustrated by the performance of the State Bank of India (SBI). Citing public bank annual reports, SBI operates massive, specialized digital supply chain programs, including the electronic Dealer Financing Scheme (e-DFS) representing an active exposure of over **₹49,261 Crores**, and the electronic Vendor Financing Scheme (e-VFS) with an exposure of **₹28,092 Crores**. This institutional scale proves that flow-based supply chain finance has become a mainstream asset class in the Indian banking landscape.

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Module 7: Commercial Pricing Mechanics and Financial Models

To master the commercial management of ABRF, finance professionals must understand the daily reducing balance interest mechanics, processing fee frameworks, and statutory tax rules that define the net cost of borrowing:

1. Benchmark-Linked Interest Pricing: Under ABRF, the nominal discount rate is tied directly to the bank's External Benchmark Lending Rate (EBLR), which is linked directly to the RBI repo rate, plus an underwritten spread that reflects the AAA or AA credit rating of the corporate Anchor. This rate typically ranges from 8.50% to 10.00% p.a., significantly lower than the 12.00% to 15.00% p.a. standard commercial rates applied to standalone MSME loans.

2. Daily Reducing Balance Interest Formula: The interest on an ABRF drawdown is calculated on a daily reducing balance basis for the exact usance tenure of the invoice, using the formula:

Interest Expense = (Financed Principal × Nominal Discount Rate × Usance Days) / 365

Interest is deducted upfront from the advanced principal, ensuring the financier collects its interest on Day 1, while the principal is retired on usance maturity.

3. GST Treatment of Trade Financing Components: Under Indian tax guidelines, the core interest and discounting components are completely exempt from GST. However, any ancillary service fees, such as upfront processing fees, CERSAI registration charges, and platform service fees, attract a standard 18% GST. Exporters and suppliers can recover this GST as Input Tax Credit (ITC) against their outward GST liabilities, making the effective service charge tax-neutral.

4. Corporate Interest Tax Shield: Under Section 36(1)(iii) of the Income Tax Act, 1961, any interest paid on capital borrowed for business operations is fully deductible as a business expense. This deduction creates a substantial interest tax shield, reducing the effective after-tax cost of borrowing:

Effective After-Tax Cost = Gross Interest Expense × (1 - Corporate Tax Rate)

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Module 8: Regulatory Compliance & Technical Defaults

Managing an active ABRF portfolio requires strict compliance with the regulatory frameworks of the Reserve Bank of India (RBI) and the disclosure mandates of the Indian Accounting Standards (Ind AS):

1. RBI IRACP Guidelines & Special Mention Account (SMA) Timelines: Under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines, any default on a credit tranche triggers automated SMA classification. Lenders monitor these timelines to manage loan quality and prevent systemic defaults:

- **SMA-0:** Applied when the financed principal or interest remains overdue for 1 to 30 days past usance maturity.
- **SMA-1:** Applied when the overdue status extends from 31 to 60 days.
- **SMA-2:** Applied when the overdue status extends from 61 to 90 days.
- **Non-Performing Asset (NPA):** Under standard guidelines, once the overdue status crosses the 90-day threshold, the entire credit line is classified as a Non-Performing Asset, requiring immediate provisioning and freezing of further drawdowns.

2. Technical 180-Day NPA Triggers: A key technical risk area in commercial lending is the renewal cycle. If a revolving ABRF credit line is not formally reviewed and renewed by the bank's credit team within 180 days of its scheduled annual expiry date, the entire facility is classified as an NPA, even if all underlying tranches are performing normally. Additionally, if the supplier fails to submit updated stock and debtor statements for over 180 days, the drawing power is frozen, triggering a technical default.

3. RBI Current Account Opening Restrictions: To prevent the diversion of cash flows, the RBI enforces strict current account opening guidelines based on the borrower's total banking system credit exposure:

- Exposure < ₹5 Crores: Borrowers can open current accounts with any bank with zero restrictions.
- Exposure between ₹5 Crores and ₹50 Crores: Borrowers must open current accounts only with banks with whom they maintain credit lines, and collection accounts must be structured as escrow accounts with automated sweeps to retire outstanding trade debt.
- Exposure ≥ ₹50 Crores: Borrowers must establish an active Escrow Mechanism overseen by a designated escrow bank. All trade collections must be routed directly into this escrow to ensure priority retirement of outstanding trade debt.

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4. RBI Digital Lending and LSP Guidelines: Under the RBI's Digital Lending and Customer Protection Directions, any digital Lending Service Provider (LSP) operating on behalf of banks must adhere to strict guidelines. This includes a 5.0% cap on Default Loss Guarantee (DLG) arrangements to prevent excessive under-the-radar credit risk transfers, direct disbursal of loans from bank accounts to supplier accounts (bypassing LSP escrows), and restricting recovery agent calling hours strictly between 07:00 AM and 07:00 PM to protect MSME promoters from harassment.

5. Balance Sheet Off-Balance Sheet Treatment Under Ind AS: Under Ind AS 109 (Financial Instruments), a supplier can derecognize its assigned trade receivables from its balance sheet (off-balance sheet treatment) only if it has transferred substantially all risks and rewards of ownership (i.e. under a true non-recourse factoring agreement). If the agreement contains full recourse or complex trade warranties, the supplier must retain the receivable on its balance sheet as an asset and record the advanced funds as a financial liability, impacting its leverage ratios.

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Module 9: Comprehensive Real-World Case Study

To illustrate the commercial mechanics, risk metrics, and treasury benefits of ABRF, this module presents a detailed, step-by-step mathematical scenario featuring a domestic automotive components manufacturer. This scenario models the exact cash flow arbitrage, tax treatments, and balance sheet outcomes of an active ABRF credit line in India.

The Commercial Scenario: *Mumbai Automotive Components Ltd. (MACL)* is a registered Tier-2 automotive gear manufacturer based in Pune, Maharashtra. MACL operates on tight operating margins (4.50%) and has been awarded a major contract to supply specialized gear assemblies to *Apex Automotive India Ltd. (AAIL)*, a premier AAA-rated corporate passenger vehicle manufacturer. AAIL's standard procurement contract dictates a **90-day usance period** on all accepted invoices, meaning MACL's capital of ₹1 Crore would remain frozen for 3 months post-shipment.

To optimize its working capital, MACL accesses an active ABRF credit facility with State Bank of India (SBI). The credit facility incorporates a **15% margin haircut** (retaining 15% as a dilution buffer and advancing 85% on Day 1), a nominal financing rate of **9.00% p.a. simple interest** linked to SBI's current EBLR, and an upfront processing fee of **0.20%** on the advanced principal. MACL's corporate tax rate is **25.17%**. On Day 1, MACL dispatches gear assemblies and raises a commercial tax invoice of **₹1,00,00,000 (₹1 Crore)** which is immediately accepted on the portal by AAIL. The following steps detail the financial math of the ABRF transaction:

Step 1: Calculate the Advanced Principal & Retained Margin: The advanced principal is calculated as:
Advanced Principal = Invoice Value × Advance Rate = ₹1,00,00,000 × 85.00% = ₹85,00,000

The remaining 15.00% represents the margin reserve, held by the bank as a dilution cushion:
Margin Haircut = Invoice Value × Margin Rate = ₹1,00,00,000 × 15.00% = ₹15,00,000

Step 2: Calculate the 90-Day Upfront Financing Interest: The interest expense for the 90-day usance period is calculated on a daily reducing balance basis:
Interest Expense = (Advanced Principal × Nominal Rate × Usance Days) / 365
Interest Expense = (₹85,00,000 × 9.00% × 90) / 365 = ₹1,88,630.14

(This interest component is completely GST-exempt under central guidelines)

Step 3: Calculate the Upfront Processing Fee & GST: The upfront processing fee is 0.20% of the advanced principal:

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Upfront Processing Fee = Advanced Principal × Processing Fee Rate = ₹85,00,000 × 0.20% = ₹17,00,000 / 100 = ₹17,000

Unlike interest, this service fee attracts a standard 18% GST:
GST on Processing Fee = Processing Fee × 18.00% = ₹17,00,000 × 18.00% = ₹17,000 × 18.00% = ₹3,060
Total Upfront Service Cost = Processing Fee + GST = ₹17,000 + ₹3,060 = ₹20,060

Step 4: Calculate the Net Upfront Cash Disbursed on Day 1: The net cash disbursed to MACL's current account on Day 1 is calculated by deducting the upfront interest and service fees from the advanced principal:
Net Payout = Advanced Principal - Interest Expense - Processing Fee - GST
Net Payout = ₹85,00,000 - ₹1,88,630.14 - ₹17,000 - ₹3,060 = ₹82,91,309.86

Step 5: Calculate the Interest Tax Shield & Effective Net Borrowing Cost: Under Section 36(1)(iii), the gross interest is tax-deductible, creating an interest tax shield at MACL's corporate tax rate of 25.17%:
Interest Tax Shield = Interest Expense × Tax Rate = ₹1,88,630.14 × 25.17% = ₹47,478.21

This tax shield reduces the effective post-tax borrowing cost:
Effective Net Financing Cost = Interest Expense - Interest Tax Shield = ₹1,88,630.14 - ₹47,478.21 = ₹1,41,151.93

(The processing fee of ₹17,000 is also tax-deductible, creating an additional tax shield of ₹4,278.90, reducing the post-tax processing fee to ₹12,721.10. The GST of ₹3,060 is fully recovered as Input Tax Credit, resulting in an effective tax-neutral status.)

Step 6: Maturity Settlement (Day 90): On Day 90, the corporate Anchor (AAIL) pays the full invoice amount of ₹1,00,00,000 directly into SBI's designated Escrow Account. SBI sweeps the escrow to retire the advanced principal of ₹85,00,000 and the accumulated interest. Since the transaction completed with zero dilution or returns, SBI immediately releases the ₹15,00,000 margin reserve back to MACL's current account.

CFO Strategic Takeaway on Credit Arbitrage: By utilizing the ABRF program, MACL was able to unlock ₹82.91 Lakhs in liquid cash on Day 1 at an effective post-tax borrowing rate of only **6.73% p.a.** (post-tax). If MACL had drawn from its standalone Cash Credit line, it would have faced a borrowing cost of 12.50% p.a. (9.35% p.a. post-tax), costing them ₹1,96,253.42 post-tax on the same principal. The ABRF program yielded a direct post-tax cash savings of **₹55,101.49** on a single transaction, while allowing MACL to secure critical raw steel inventory from its suppliers on cash discount terms.

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Module 10: 10-Question Certification Examination

This practice examination consists of 10 highly comprehensive, scenario-based questions designed to test a trainee's understanding of Anchor-Based Receivable Funding. To clear the certification, trainees must score a minimum of 80% (8 correct options). Complete answers, detailed mathematical rationales, and regulatory analyses are provided below each question.

Module 10.1: Question 1 (The Deeming Fiction & Title Transfer)

Under Section 10(1)(b) of the IGST Act, 2017, how does the statutory 'deeming fiction' govern the place of supply and title transfer during a multi-party transit shipment under an ABRF line?

A) Title is transferred only when the goods physically enter the principal registered office of the corporate Anchor, rendering transit finance unsecured.

B) It deems that the corporate Anchor (the third-party instruction giver) has received the goods upon physical delivery to the designated consignee, creating a binding transfer of title that prevents the Anchor from claiming non-delivery on maturity.

C) It exempts the transaction from all GST liabilities and places the entire tax burden on the bank.

D) It allows the bank to claim a 100% tax rebate on the advanced principal under agricultural export trade incentives.

★ Correct Option: B.

★ Rationale & Analysis:

Section 10(1)(b) of the IGST Act, 2017, establishes that when goods are delivered by a supplier to a recipient or any other person on the instructions of a third person (the corporate Anchor), it is legally deemed that the third person has received the goods. This deeming fiction creates an immediate transfer of title and completion of sale. This legal framework protects financiers because the corporate Anchor cannot subsequently declare the transaction invalid or escape payment liability by claiming they never physically possessed the goods, as delivery to the consignee legally completes the contractual sale.

Module 10.2: Question 2 (Assignment of Receivables Under Section 130)

Under Section 130 of the Transfer of Property Act, 1882, what is the legal consequence of executing an absolute assignment of trade receivables (book debts) as 'actionable claims' to a bank?

A) The bank acts as a collection agent, and all recovery lawsuits must be filed solely in

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the name of the supplier.
B) It transfers all ownership rights, legal remedies, and direct enforcement powers to the bank, enabling the bank to sue the corporate Anchor directly for payment on maturity without involving the supplier.
C) It voids the supplier's corporate tax liability and transfers all outstanding book debts into state-owned non-taxable assets.
D) It limits the bank's recovery right to the promoter's personal residential property, leaving corporate receivables unsecured.

★ Correct Option: B.

★ Rationale & Analysis:
Under Indian law, book debts (receivables) are 'actionable claims'. Section 130 of the Transfer of Property Act, 1882, provides that the transfer of an actionable claim is effected through an absolute assignment in writing. Once executed, the assignee (the bank) steps directly into the shoes of the assignor (the supplier). The bank acquires all rights, title, and interest, including the direct right to sue the debtor (the corporate Anchor) in its own name. The supplier's involvement is no longer a legal prerequisite for recovery actions, creating a highly robust security structure.

Module 10.3: Question 3 (The CERSAI Registration Window)
Under the Factoring Regulation Act, 2011 (including the 2021 Amendments), what is the mandatory statutory window for registering a factoring/receivable assignment charge on the CERSAI platform?
A) Within 30 days from the date of the first commercial dispatch of goods.
B) Within a strict 10-day statutory window from the date of the factoring or receivable assignment transaction.
C) Within 180 days, coinciding with the technical NPA review cycle.
D) Registration is voluntary and only required if the corporate Anchor declares active insolvency.

★ Correct Option: B.

★ Rationale & Analysis:
To prevent double-financing fraud—where a dishonest supplier pledges the same invoice to multiple financiers—the Factoring Regulation (Amendment) Act, 2021, shortened the mandatory window for registering the assignment of trade receivables on the Central Registry (CERSAI) platform to a strict 10-day statutory window. Registration creates a public, legally binding electronic charge. Failure to register within this window

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exposes the lender to priority claims from other creditors and constitutes a serious regulatory default.

Module 10.4: Question 4 (The Tripartite Non-Dispute Covenant)
What is the operational function of a 'Non-Dispute Covenant' in an ABRF tripartite agreement between the Financier, the Supplier, and the Corporate Anchor?
A) It contractually bars the Anchor from returning defective inventory to the supplier, forcing them to accept low-quality goods.
B) It obligates the Anchor to pay the bank the full accepted invoice amount on usance maturity, unconditionally waiving any rights of set-off or withholding of payments due to subsequent trade quality disputes or delivery delays.
C) It exempts the bank from paying GST on processing fees under central banking incentives.
D) It allows the supplier to declare voluntary bankruptcy without impacting its active Cash Credit limits.

★ Correct Option: B.

★ Rationale & Analysis:
In supply chain finance, a primary risk is that the corporate buyer might refuse to pay the bank on maturity because the goods delivered were of inferior quality, delayed, or incomplete. To eliminate this trade-level risk, the tripartite agreement incorporates a 'Non-Dispute Covenant'. Once the Anchor digitally accepts the invoice on the bank's portal, they unconditionally agree to pay the bank the full value on maturity, without any set-off or withholding of payment. Any quality disputes must be resolved directly and independently between the Anchor and the supplier, fully insulating the bank's credit tranche.

Module 10.5: Question 5 (Interest and Processing Fee GST Treatment)
Under current Indian GST guidelines, how are the interest/discount components and upfront processing fees treated for tax purposes in an ABRF transaction?
A) A flat 18% GST is applied to both the core interest expense and the processing fees, both of which are non-recoverable.
B) The core interest/discount components are completely exempt from GST, while upfront processing and service fees attract a standard 18% GST (which qualifies for corporate Input Tax Credit).

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C) Interest is taxed at 5% GST under the MSME relief scheme, while processing fees are tax-exempt.
D) Both interest and service fees are 100% tax-free under central export promotion guidelines.

★ Correct Option: B.

★ Rationale & Analysis:
Under central tax guidelines, any transaction of extending credit, loans, or advances where the consideration is represented by way of interest or discount is completely exempt from GST. Therefore, the core usance interest/discount component in an ABRF transaction attracts 0% GST. However, any service fees, including bank processing fees, facility arrangement fees, and CERSAI platform fees, represent taxable administrative services and attract a standard 18% GST. This GST component can be fully claimed as Input Tax Credit (ITC) by a registered business, making it tax-neutral.

Module 10.6: Question 6 (Interest Tax Shield Math)
MACL draws down an advanced principal of ₹85,00,000 under an SBI ABRF line at a nominal interest rate of 9.00% p.a. for a 90-day usance period. If MACL's corporate tax rate is 25.17%, calculate the post-tax interest expense, incorporating the interest tax shield under Section 36(1)(iii).
A) ₹1,88,630.14
B) ₹1,41,151.93
C) ₹1,21,118.00
D) ₹1,04,387.12

★ Correct Option: B.

★ Rationale & Analysis:
First, calculate the gross interest expense using the daily reducing balance formula:
Gross Interest = (Advanced Principal × Rate × Usance Days) / 365
Gross Interest = (₹85,00,000 × 0.09 × 90) / 365 = ₹1,88,630.14

Next, calculate the interest tax shield under Section 36(1)(iii) of the Income Tax Act, 1961:
Interest Tax Shield = Gross Interest × Corporate Tax Rate = ₹1,88,630.14 × 25.17% = ₹47,478.21

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Finally, deduct the tax shield from the gross interest to find the net post-tax interest expense:
Post-Tax Interest = Gross Interest - Tax Shield = ₹1,88,630.14 - ₹47,478.21 = ₹1,41,151.93. This represents a highly competitive effective financing cost for the supplier.

Module 10.7: Question 7 (RBI IRACP Overdue SMA Classification)

Under the RBI's IRACP guidelines, if a corporate Anchor defaults on paying a discounted invoice at usance maturity, what is the exact chronological timeline and classification applied to the credit tranche before it is declared an active NPA?
A) Declared an NPA immediately on Day 1 of overdue status, freezing the entire supplier facility.
B) SMA-0 for 1-30 days overdue, SMA-1 for 31-60 days, SMA-2 for 61-90 days, and declared an active NPA on the 91st day.
C) SMA-1 for 1-90 days overdue, and declared an NPA on the 181st day.
D) Exempt from NPA classification because the underlying borrower is a registered MSME supplier.

★ Correct Option: B.

★ Rationale & Analysis:
Under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) directions, all commercial loans and bills are subject to a strict asset classification timeline. If a tranche remains unpaid past maturity, it triggers automated Special Mention Account (SMA) classification: SMA-0 for 1-30 days overdue, SMA-1 for 31-60 days, and SMA-2 for 61-90 days. On the 91st day of continuous overdue status, the entire facility is classified as a Non-Performing Asset (NPA), requiring immediate loan provisioning and freezing of further drawdowns.

Module 10.8: Question 8 (The Technical 180-Day NPA Trigger)

An automotive component vendor has an active revolving ABRF credit line. Although all underlying trade tranches are being paid on time, the facility has not been formally reviewed or renewed by the bank's credit team within 180 days of its scheduled annual expiry date. What is the regulatory consequence?
A) The credit line is automatically extended for an additional 12 months with zero

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penalties.
B) The entire facility is automatically classified as a Non-Performing Asset (NPA) under technical default rules.
C) The bank is fined ₹10 Lakhs, but the customer's account remains classified as standard.
D) The credit risk shifts entirely to the personal balance sheet of the bank's branch manager.

★ Correct Option: B.

★ Rationale & Analysis:
Under the RBI's guidelines on loan management, revolving working capital facilities (such as cash credit accounts or revolving supply chain lines) must be formally reviewed and renewed at least once a year. If a revolving facility is not formally renewed within 180 days of its scheduled annual expiry date, the entire facility is automatically classified as a Non-Performing Asset (NPA) under technical default rules, even if the account is running with zero overdues. This emphasizes the critical importance of annual credit renewal compliance.

Module 10.9: Question 9 (RBI Current Account Opening & Escrow sweeps)
Under the RBI's current account opening guidelines, what is the mandatory collection and escrow routing structure for a borrower whose total credit exposure across the banking system is ₹25 Crores?
A) Free to open current accounts with any bank with zero collection sweeps.
B) Must open current accounts only with banks with whom they maintain credit lines, and collection accounts must be structured as escrow accounts with automated sweeps to retire outstanding trade debt.
C) Must route 100% of its cash collections directly to the RBI's central clearing house in Mumbai.
D) Prohibited from maintaining current accounts and must operate solely using physical cash reserves.

★ Correct Option: B.

★ Rationale & Analysis:
To prevent the diversion of cash flows and protect lender security, the RBI enforces strict current account opening guidelines based on the borrower's total credit exposure. For borrowers with exposure between ₹5 Crores and ₹50 Crores, the RBI mandates that they must open current accounts only with banks with whom they maintain credit

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lines. Furthermore, any collection accounts opened with non-lending banks must be structured as escrow accounts with automated sweeps to transfer funds directly to the lending bank to retire outstanding trade debt. This ensures high-integrity cash flow monitoring.

Module 10.10: Question 10 (RBI Digital Lending LSP DLG Caps)
Under the RBI's Digital Lending guidelines, if a bank utilizes a third-party Digital Lending Service Provider (LSP) to manage its ABRF supplier onboarding platform, what is the maximum permissible cap on Default Loss Guarantee (DLG) arrangements?
A) Capped at a maximum of 2.0% of the aggregate credit portfolio balance.
B) Capped at a maximum of 5.0% of the aggregate loan portfolio exposure.
C) Capped at a maximum of 10.0% of the aggregate loan portfolio exposure.
D) DLG arrangements are completely prohibited for digital supply chain portfolios.

★ Correct Option: B.

★ Rationale & Analysis:
To prevent excessive under-the-radar credit risk transfers from regulated entities (banks) to unregulated digital platforms (LSPs), the RBI's Digital Lending Directions enforce a strict cap on credit guarantee and Default Loss Guarantee (DLG) arrangements. Any DLG or first-loss default guarantee provided by an LSP on behalf of a bank cannot exceed a maximum of 5.0% of the aggregate loan portfolio exposure. This rule protects the systemic stability of the banking sector and ensures that banks retain the primary underwriting responsibility.

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